Complete Guide to Market Regime Indicators

From Theory to Practice (Part 3)

AXEL ADLER JR
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In the first two parts, we covered core indicators and advanced metrics - the same tools institutional funds use to read market regimes. You already know *what* to watch and *which threshold levels* matter. But knowing individual indicators is like having a toolbox without understanding how to assemble them into a working machine.

In Part 3, we bring everything together into a practical system you can apply daily. You'll get a ready-made **Regime Scorecard** with indicator weights, learn to identify current market regime in 3–5 minutes each morning, discover precise **entry and exit rules** based on Regime Score, and most importantly, understand how to recognize **regime transitions** where most money is made.

We'll break down the concept of **VETO indicators** - those red lines that override any Score and require immediate action, and show through real cases (October 2023, December 2018, March 2020) how this system worked in practice and who profited from it.

Part 3: Building the Regime Framework and Practical System

3.1 Pure Market Regimes

Risk-On (Bullish Regime for Risk Assets)

Indicator Configuration:

10Y Yields: Stable or falling on Fed easing expectations (but not on recession)

- 2s10s spread positive (+100-150 bps)
- Real yields ↓ or stable

Equity Markets:

- S&P 500 rising with healthy breadth
-

> 60% of stocks above 50-day MA

- Advance/Decline Line making new highs
- Sector rotation: Tech, Financials, Consumer Discretionary leading

FX:

- DXY weakening or stable
- USD/JPY ↑ (capital leaving safe haven)
- EM currencies strengthening

Volatility:

- VIX <15
- VIX futures curve in steep contango
- VVIX/VIX ratio low

Credit:

- HY spreads <350 bps and tightening
- HYG/LQD ratio rising

Commodities:

- Oil moderately rising or stable (demand healthy)
- Copper ↑ (growth expectations)
- **Gold:** neutral or ↓ in early risk-on phase (real rates stable/up, no fear)

> *Note: In late-phase risk-on or during soft landing, gold can rise NOT on fear, but on falling real rates while growth persists - see "Soft Landing" section.*

Macro:

- ISM Services >52, Manufacturing >50
- PMI improving or stable
- **Real Fed Funds <1.5%** (accommodative zone)

Positioning:

- Put/Call 0.60-0.85 (normal range)
- AAII Bulls 40-50% (not euphoria)
- Fund flows positive

Liquidity:

- **MOVE Index <90** (normal Treasury liquidity)
- ON RRP falling (money entering system)

- Bid-ask spreads tight

Risk-Off (Bearish Regime)

Indicator Configuration:

Yields: Either ↑ on hawkish CB, or ↓ on flight-to-quality

- Key question: WHY are yields falling?
  - On recession → everything falls
  - On QE/pivot → gradual recovery

Equity Markets:

- S&P 500 ↓ with narrow breadth
- <40% of stocks above 50-day MA
- A/D Line diverging
- Defensive sectors outperform (Utilities, Staples, Healthcare)

FX:

- DXY ↑ (especially if geopolitical stress)
- USD/JPY ↓↓ (carry trade unwind)
- EM currencies under pressure

Volatility:

- VIX >25
- VIX backwardation (near > far)
- VVIX spike

Credit:

- **HY spreads >450 bps** and widening rapidly
- IG spreads also rising
- Divergence: equities still holding, but spreads already screaming

Commodities:

- Oil: either ↓ (recession), or ↑ (supply shock inflation)
- Copper ↓↓ (no growth)
- Gold ↑ (safe haven bid)
- Gold/Silver ratio >90 (extreme fear)

Macro:

- ISM <48 (contraction)
- Unemployment ↑
- Leading indicators ↓

Positioning:

- Put/Call >1.10 (fear)
- AAII Bears >45%
- Dealer gamma negative → volatility amplified
- Fund flows: massive outflows

Liquidity:

- **MOVE Index >110** (Treasury market stress)
- Bid-ask spreads widening
- Treasury market dysfunction

3.2 Complex Regimes (Require Nuance)

Inflationary Shock

Characteristics: Inflation accelerating faster than expectations → CBs forced to tighten → growth suffocation

Indicators:

- **Yields:** ↑↑ (especially breakevens)
- **Real yields:** ↑ (but slower than nominal)
- **Commodities:**
  - Oil ↑↑ (demand or supply shock)
  - Energy assets outperform
  - Gold: ambiguous (real rates ↑ pressure, but fear supports)
- **FX:** USD ↑ (if Fed tightening more aggressively than other CBs)
- **Equities:**
  - Growth stocks suffer (long duration)
  - Value relatively resilient
  - Energy, Materials lead
- **Credit:** Spreads widen (refinancing more expensive)

- **Positioning:** Rotation into inflation hedges

Example: 2021-2022:

- CPI from 1.4% → 9.1%
- 10Y UST from 0.5% → 4.3%
- Real yields from -1% → +1.5%
- Result: S&P -18%, Nasdaq -33%, BTC -65%

Trading Logic:

- Short duration (growth)
- Long commodities, TIPS
- Cautious on credit
- Wait for pivot signals from Fed

Recessionary Shock

Characteristics: Economy contracting → earnings falling → default fears → flight to quality

Indicators:

- **Yields:** ↓↓ (flight to UST)
- **Curve:** Inversion → steepening → (often precedes acute phase)
- **Commodities:**
  - Oil ↓↓ (>20% per quarter)
  - Copper ↓↓ (Dr. Copper doesn't lie)
  - Gold: first ↓ (liquidation), then ↑ (QE expectations)
- **FX:** USD ↑ (king dollar in crisis)
- **Equities:**
  - Everything falls, but Defensives hold better
  - Small caps worse than large caps
- **Credit:**
  - HY spreads >600 bps (sometimes >1000)
  - Defaults rising
- **Macro:**
  - ISM <45
  - Unemployment ↑ sharply (>0.5% per quarter)

  - PMI collapse

Example: 2008:

- HY spreads → 2000 bps
- VIX → 80
- S&P -57%
- Yields: 10Y from 4% → 2% in months

Trading Logic:

- Cash is king (liquidity above all)
- Quality bonds (IG, UST)
- Defensive equities if holding
- Wait for Fed emergency cuts + QE
- Capitulation signals: VIX >40, Put/Call >1.3, AAII Bears >50%

Stagflation (Worst Regime)

Characteristics: High inflation + zero/negative growth = CBs trapped

Indicators:

- **Yields:** ↑ (inflation) despite weak growth
- **Curve:** May be flat (confused market)
- **Commodities:**
  - Oil ↑ on supply shock (not demand)
  - Gold ↑↑ (only hedge)
- **Equities and Bonds:** Both fall (correlation → +1)
  - 60/40 portfolio doesn't work
- **Credit:** Spreads ↑ (combination of weak earnings and high rates)
- **FX:** Depends on which country worse
- **Macro:**
  - ISM <50
  - Inflation >5%
  - Unemployment rising, but prices sticky

Example: 1970s:

- CPI 10%+, GDP growth ~0%

- S&P Real returns negative 10+ years
- Only gold and commodities provided protection

Partially 2022:

- Inflation 9%, GDP growth slowed
- But Fed managed to tighten without full recession → avoided true stagflation

Trading Logic:

- Most difficult regime for all assets
- Commodities (especially energy)
- Gold
- TIPS (if available)
- Short duration bonds
- Avoid long-duration everything

Soft Landing (Best Regime)

Characteristics: CB successfully cools inflation without recession → Goldilocks

Indicators:

- **Yields:** ↓ moderately (cuts without panic)
- **Real yields:** ↓ (supporting assets)
- **Curve:** Normalizing (steepening back)
- **Equities:**
    - Rally on pivot expectations
    - Breadth improving
    - Cyclicals starting to catch up
- **Credit:** Spreads tightening (no hard landing)
- **Commodities:**
    - Oil stable
    - Copper moderate growth
    - **Gold ↑ on falling real rates** (this is NOT fear, but classic goldilocks for gold)
- **FX:** USD weakening (liquidity flows globally)
- **Macro:**
    - ISM 50-54 (slowdown, but not contraction)
    - Unemployment stable

  - Inflation → target without pain

> *Note: In soft landing, gold rises alongside risk-assets due to falling real rates, not as a counterweight to the market. This differs from early risk-on where real rates are stable and gold has no driver.*

Example: 1995, partially 2023:

- 2023: Fed pause → yields fall → S&P +24% → soft landing narrative

Trading Logic:

- Risk-on everything
- Growth starts to outperform again
- EM, small caps catch up
- Bitcoin historically loves this regime

3.3 Regime Transitions (Most Important)

Why Transitions Are Critical?

Most money is lost/made in transitions, not in established regimes.

- Established risk-on: easy to be in market, but upside limited
- Transition risk-on → risk-off: those who saw early, preserved capital
- Transition risk-off → risk-on: biggest returns (buy capitulation)

Signs of Approaching Transition

1. Divergences Between Asset Classes

Example 1: Stocks rising, but credit spreads widening

- S&P making new highs
- HY spreads from 300 → 400 bps in a month
- **Interpretation:** Bond market sees risks, equity still in denial
- **Action:** Reduce exposure, hedge

Example 2: VIX low, but MOVE Index rising

- VIX = 13 (complacency)
- MOVE from 80 → 110
- **Interpretation:** Problems in rates market, equity not yet aware

- **Action:** Defensive positioning

2. Correlation Breaks

Normal:

- USD ↑ = Risk-off
- USD ↓ = Risk-on

Break:

- USD ↑ + Equities ↑ simultaneously (happened in 2022-2023)
- **Reason:** US exceptionalism narrative
- **Signal:** Market restructuring, expect volatility

Another example:

- Yields ↑ usually = Equities ↓
- But yields ↑ + Equities ↑ = Strong growth story
- If sharply reverses → quick correction

3. Volatility Regime Shift

VIX curve shape:

- **Contango** (spot < futures): Calm market, short vol profitable
- **Backwardation** (spot > futures): Immediate fear > future fear, danger

Transition:

- Contango → Flat → Backwardation = Stress building
- Reverse = Stress resolving

MOVE Index analog:

- Sharp MOVE spike (>30 points per week) almost always precedes equity volatility within a month

4. Macro Surprise Index

When data starts systematically beating/missing expectations:

Positive surprises:

- ISM, NFP, Retail Sales all > consensus
- → Market underestimating strength
- → Yields ↑, hawkish Fed risk

Negative surprises:

- All data < consensus
- → Slowdown faster than expectations
- → Yields ↓, pivot hopes

Tool: Citi/Bloomberg Economic Surprise Indices

5. Central Bank Rhetoric Shift

Hawkish → Dovish:

- "Higher for longer" → "We're watching data carefully"
- Dot plot shifts lower
- Fed Funds futures repricing aggressively

Dovish → Hawkish:

- "Transitory" → "Persistent"
- Emergency pivot → "We might need to do more"

Leading indicator: Fed Funds futures vs. actual Fed dot plot

- If market prices 3 cuts, but Fed dot plot shows 0 → repricing pain ahead

How to Trade Transitions

Strategy 1: Reduce Risk During Uncertainty

When you see 2-3 transition signs:

- Reduce gross exposure by 30-50%
- Don't try to guess direction
- Wait for clarity

Mistake: "I see transition, going all-in short"

- Transitions are volatile
- You may be right on direction, but wrong on timing
- Stopped out before you're proven right

Strategy 2: Hedging Through Options

Cheap hedges during transitions:

- VIX calls when VIX <15 (cheap insurance)
- Put spreads on S&P
- Long gold / short Nasdaq pairs

Timing: When implied vol low, but realized vol starting to rise

Strategy 3: Uncorrelated Assets

In transitions correlations →1 (everything falls together)

Uncorrelated hedges:

- Cash (no joke)
- Managed futures / Trend following
- Merger arb (in moderate transitions)

Strategy 4: Wait for Confirmation

Don't rush to declare new regime:

- Need 2-3 weeks of sustained signals
- One VIX spike ≠ new regime
- HY spreads 1 day at 450 ≠ crisis
- But HY spreads 2 weeks >450 + MOVE >110 + ISM <48 = Yes, this is new regime

Practical Transition Cases

Case 1: October 2023 (Risk-off → Risk-on)

Context:

- 10Y yields spike to 5% (October 19)
- Equities -10% from July
- Hawkish Fed rhetoric
- Geopolitical tensions (Israel-Hamas)

Transition signs beginning:

- **Weeks 1-2:**
  - HY spreads stop widening (plateau at 400)
  - MOVE Index spike to 135, then retraces
  - Put/Call ratio >1.2 (fear)
  - AAII Bears >50%
- **Week 3:**
  - Fed officials start softening tone ("restrictive enough")
  - Yields start falling (5.0% → 4.7%)
  - VIX falls from 28 → 18

- **Week 4:**
  - Yields continue ↓
  - HY spreads tighten 400 → 360
  - Breadth improving

New regime confirmation:

- S&P breaks above 50-day MA
- A/D Line new high
- Yields stabilize at 4.5%

Result: S&P +14% over 2 months

Lesson: Those who bought on extreme positioning (Bears >50%, P/C >1.2) + first signs of Fed dovish pivot, made the best trade of the year

Case 2: December 2018 (Risk-on → Risk-off → Quick Risk-on)

Context:

- Fed on autopilot QT
- Trade war rhetoric
- Equities under pressure all Q4

Transition signs:

- **November:** HY spreads from 300 → 450
- **December 24:** S&P -20% from peak, VIX 36, Put/Call >1.4

Turning point:

- Fed Powell on Christmas Eve changes tone: "We're listening to markets"
- Yields ↓
- Spreads stop widening

Result: S&P +9% in January 2019

Lesson: Fed put works, but needs capitulation first

Case 3: February-March 2020 (Risk-on → Crisis → QE Recovery)

Signs 2 weeks before crash:

- **Mid-Feb:** VIX still 13-14, S&P ATH

- **BUT:**
  - MOVE Index started rising (70 → 90)
  - China PMI collapse (COVID)
  - Credit spreads started widening

Acute phase (March 9-23):

- Circuit breakers
- VIX 82
- HY spreads >1000 bps
- MOVE >160
- USD short squeeze (liquidity crunch)

Signs of transition to recovery:

- **March 23:** Fed announces unlimited QE
- Yields ↓↓ (10Y from 1.2% → 0.5%)
- HY spreads start tightening (1000 → 800)

Confirmation:

- **April:** Yields stabilize, spreads continue tight
- Equities begin V-recovery

Lesson:

- Signs were there (MOVE, China data), but timing impossible
- After Fed bazooka — buying fear was right
- Those who bought March 23 (day of unlim QE announcement), +50% in 3 months

3.4 Daily/Weekly Workflow

Daily Routine (3-5 minutes morning)

Tier 1 – Must Check (daily):

1. **Yields:**
   - 10Y UST
   - 2s10s spread
   - Movement >10 bps = pay attention
2. **Equity Indices:**

   - S&P 500 close
   - A/D Line direction
   - VIX close
3. **Credit:**
   - HY spreads (if have access, otherwise HYG vs LQD)
   - Quick check: widening/tightening?
4. **MOVE Index:**
   - Quick check: <90 ok, 90-110 caution, >110 alert
   - Sharp spike >30 points = red flag
5. **FX:**
   - DXY
   - USD/JPY (risk barometer)
6. **Commodities:**
   - Oil (sharp moves >3%)
   - Gold

Quick Assessment:

- Everything moving in same direction? → Pure regime
- Divergences? → Attention, dig deeper

Weekly Review (30 minutes Sundays)

Tier 2 – Weekly Deep Dive:

1. **Macro Data Review:**
   - Any releases: PMI, NFP, CPI, Retail Sales
   - Surprise direction? (Beat/Miss)
   - Has narrative changed?
2. **Volatility Structure:**
   - VIX curve shape
   - MOVE Index (detailed analysis: absolute level + weekly change + trend)
   - VVIX/VIX ratio
   - MOVE vs VIX divergences
3. **Positioning:**
   - CBOE Put/Call (21-day MA)
   - AAII Sentiment

   - CFTC COT (if have access)
   - Fund flows (equity/bond mutual funds)
4. **Credit Deep Dive:**
   - IG spreads
   - Crossover issuers (BBB-/BB+) – early stress signal
   - Default rates trend
5. **Central Bank Watch:**
   - Changes in Fed/ECB tone?
   - Fed Funds futures (pricing of next 6 months)
   - Real Fed Funds Rate (update)
6. **Breadth Metrics:**
   - % stocks above 50-day / 200-day MA
   - New Highs - New Lows
   - Sector rotation (leaders changed?)

Output: Update your Regime Scorecard

Regime Scorecard Template

Indicator	Current	Threshold	Score	Weight
HY Spreads	315 bps	<350=🟢 350-450=🟡 >450=🔴	🟢	20%
MOVE Index	79	<90=🟢 90-120=🟡 >120=🔴	🟢	15%
VIX	14	<15=🟢 15-25=🟡 >25=🔴	🟢	10%
Put/Call	0.64	0.6-0.85=🟢 else=🟡 >1.1=🔴	🟢	10%
ISM Services	52.4	>52=🟢 48-52=🟡 <48=🔴	🟢	15%
Real FFR	1.09%	<1.5=🟢 1.5-2.5=🟡 >2.5=🔴	🟢	15%
10Y Yield	4.3%	Neutral	🟡	10%
DXY	100	Trend	🟢	5%

Weighted Score:

- 🟢 = 1 point
- 🟡 = 0.5
- 🔴 = 0

Total: (1×0.2 + 1×0.15 + 1×0.1 + 1×0.1 + 1×0.15 + 1×0.15 + 0.5×0.1 + 1×0.05) = **0.95** / **1.0**

> *Interpretation note: Weighted Score accounts for indicator weights. Even with 1-2 yellow signals, overall Score >0.8 is interpreted as solid risk-on, **if**:*

> - *Yellow indicators have low weight (5-10%), while critical ones (HY, MOVE) are green*
> - *No VETO indicators present*
> - *Trend of yellow indicators not deteriorating*

Interpretation:

- **>0.8:** Clear risk-on, can run standard/elevated exposure
- **0.6-0.8:** Neutral/cautious, maintain core positions only
- **<0.6:** Risk-off, reduce exposure, defensive positioning

3.5 Practical Rules of Engagement

Risk Sizing by Regime Score

Score >0.8 (Green Light):

- Full position per strategy
- Can use moderate leverage (1.2-1.5x if available)
- Tactical longs in high beta (small caps, crypto)

Score 0.6-0.8 (Yellow Light):

- 50-70% of max position
- No leverage
- Quality > junk
- Tight stops

Score <0.6 (Red Light):

- 20-40% exposure or full cash
- Active hedges (puts, VIX calls)
- Wait for capitulation signals

Score Override: VETO Indicators

Even if overall score high, VETO if:

1. **HY spreads >500 bps + widening trend** (>+50 bps over 2 weeks) → Credit screaming "danger", immediate exposure reduction
2. **MOVE >120** → Liquidity breaking, systemic stress in Treasury market
3. **VIX backwardation** + >**30** → Acute stress, not time for hero trades

4. **ISM <45** + **falling** → Recession imminent, defensive only
5. **Real FFR** >**2.5%** + **rising** → CB aggressively suffocating economy

One VETO indicator = overrides entire regime score.

> *Hierarchy explanation: HY spreads >450 bps = red zone in Scorecard (risk-off regime, reduce positions). But VETO triggers only at HY >500 bps AND sustained widening — this signals systemic stress requiring immediate action regardless of other indicators.*

False Signals and How to Filter

Problem: One VIX spike, one bad PMI, one day HY spreads up — is this noise or signal?

Filter:

1. **Confirmation Rule:** Need 2-3 indicators simultaneously
   - VIX spike + HY stable = ignore VIX
   - VIX spike + HY widening + MOVE up = attention
2. **Duration Rule:** Extreme must hold 3-5 days minimum
   - 1 day VIX 30 → may be noise
   - VIX >25 three days straight → this is stress
3. **Magnitude Rule:** Movement must be significant
   - HY spreads +10 bps = noise
   - HY spreads +50 bps per week = signal
4. **Cross-asset Confirmation:**
   - Yields ↑ + USD ↑ + VIX ↑ = confirmed tightening
   - Yields ↑ + USD ↓ + VIX stable = growth scare only (may be false)

3.6 Common Mistakes and How to Avoid

Mistake 1: Overtrading on Noise

Symptom: Changing position every day based on every move

Solution:

- Work on weekly reviews, not daily
- Change position only if Regime Score changed by >0.15

Mistake 2: Ignoring Divergences

Symptom: "S&P rising, so everything ok", not watching credit/breadth

Solution:

- If HY spreads widening while stocks rising → this is early warning, don't ignore

Mistake 3: Fighting the Transition

Symptom: "I see transition signs, going all-in short now"

Solution:

- Transitions are volatile
- First reduce risk (don't add directional)
- Wait for confirmation, then act

Mistake 4: Forgot About Lags

Symptom: "ISM fell, but equities still rising, so ISM doesn't matter"

Solution:

- Macro data has 1-3 month lag to earnings/equity impact
- Weak ISM today = weak earnings in a quarter

Mistake 5: Overconfidence on Perfect Score

Symptom: "Score 0.9, everything green, putting max leverage"

Solution:

- Perfect regimes don't last forever
- Always keep 10-20% in protection (cash, gold, defensive)
- Use stops even in bulls

Final Checklist: Are You Ready to Apply the System?

✅ **I understand basic indicators:** Yields, Equity breadth, FX, VIX, Commodities

✅ **I understand advanced indicators:** HY Spreads, MOVE, Put/Call, ISM, Real FFR

✅ **I can identify regime:** Risk-on, Risk-off, Inflation, Recession, Stagflation, Soft Landing

✅ **I know transition signs:** Divergences, correlation breaks, vol regime shifts

✅ **I have weekly workflow:** 5 min daily, 30 min Sundays

✅ **I have Regime Scorecard:** Updating weekly

✅ **I know my risk rules:** Sizing by Score, VETO indicators, stops

✅ **I won't overtrade:** Working by system, not by emotions

Part 3 Conclusion

Key Points:

1. **Regimes change** — and most P&L is made in transitions
2. **One indicator** = **noise, five indicators** = **imperative**
3. **Discipline beats prediction** — follow system, don't hero-trade
4. **Reduce risk when uncertain** — don't guess, wait for clarity
5. **Confirmation takes time** — 2-3 weeks, not 2 days

Next Steps:

In **Part 4** we'll cover:

- Full historical cases with step-by-step analysis:
  - COVID 2020 (February-June)
  - Tightening Cycle 2022
  - False Alarm October 2023
  - August 2024 Carry Unwind
- How to build custom alerts
- Where to find data (free and paid sources)
- Integration with Bitcoin on-chain metrics

In **Part 5**:

- Step-by-step checklists for printing
- Template for Notion/Excel tracking
- Q&A on most common questions
- How to adapt system to your style (swing trading, long-term holding, derivatives)

Thank you for continuing to study Adler Premium Education. Use this system with discipline, and it will help you see the market through the eyes of professional funds. The key is not to stop at reading: apply the checklists and Regime Scorecard in weekly market work.

AAJ + Barry

Discussion about this post

l90020103 l90020103 Nov 19

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